

**Time:** 5 minutes**Outcome:** Trace monetary disinflation, unemployment costs, and expectations adjustment.**Difficulty:** ●●● Advanced

Disinflation and Policy



THE CORE IDEA

Disinflation lowers the inflation rate but usually creates temporary output and employment costs while expectations adjust. Contraction reduces aggregate demand and inflation pressure, normally creating a short-run output gap and higher unemployment. Expected inflation adjusts, the SRPC shifts, and unemployment returns toward its natural rate. Disinflation is a decline in the inflation rate; deflation is a decline in the price level.



HOW TO RECOGNIZE IT

- Disinflation means the inflation rate is falling, not that the price level is falling.
- Contractionary policy initially moves the economy along the existing short-run Phillips curve toward higher unemployment.
- As expected inflation falls, the short-run Phillips curve shifts downward.
- Credible policy and flexible expectations can reduce the output and employment cost of lowering inflation.

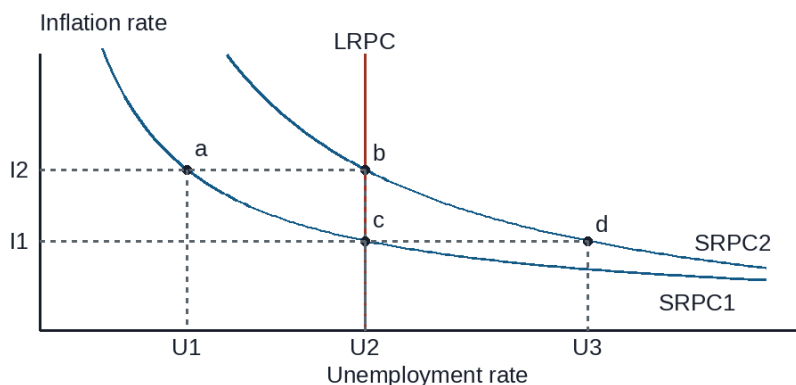


WATCH OUT

Do not confuse a lower positive inflation rate with a falling price level. Disinflation is a decline in the inflation rate; deflation is a decline in the price level.



WORKED EXAMPLE: LOWERING INFLATION



Contractionary policy first moves the economy along SRPC2 from b to d, lowering inflation from I2 to I1 while unemployment rises from U2 to U3. As expected inflation adjusts downward, SRPC shifts to SRPC1 and unemployment returns to U2 at point c. Disinflation creates a temporary employment cost.



CHECK YOURSELF

Inflation falls from 5% to 2% but remains positive. Did the price level fall?

**READY?**

Return to the game and master this concept.